



Policy on Risk Management

(Pursuant to Section 134(3)(n) of the Companies Act, 2013 and Regulation 21 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended)

Avance Technologies Limited

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1. PREAMBLE

This Risk Management Policy ("Policy") has been formulated and adopted by the Board of Directors of **Avance Technologies Limited** ("the Company") in compliance with the provisions of **Section 134(3)(n) of the Companies Act, 2013**, read with the applicable rules made thereunder, and **Regulation 21 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015**, including the amendments introduced through the **SEBI (LODR) (Amendment) Regulations, 2018 and 2021**, and other circulars, notifications and guidance issued by the Securities and Exchange Board of India ("SEBI") from time to time.

Risk management is a critical component of corporate governance and forms an integral part of the Company's decision-making processes. The dynamic and evolving nature of the business environment exposes the Company to a wide range of risks, including strategic, operational, financial, regulatory, technological and reputational risks. Effective management of such risks is essential for ensuring sustainable growth, protecting stakeholder interests, and maintaining the integrity and resilience of the Company.

This Policy establishes a structured and comprehensive framework for identifying, assessing, mitigating, monitoring and reporting risks across the organization and aims to embed a culture of proactive risk management at all levels.

2. OBJECTIVES

The objectives of this Policy are to:

- Establish a **robust and enterprise-wide risk management framework**;
- Ensure systematic **identification, assessment, prioritization and mitigation of risks**;
- Integrate risk management into the Company's **strategic planning and operational processes**;
- Enhance the Company's ability to **anticipate and respond to emerging risks**;
- Protect and enhance **shareholder value and stakeholder confidence**;
- Ensure compliance with **applicable laws, regulations and governance standards**; and
- Promote a **risk-aware organizational culture**.

3. DEFINITIONS

For the purpose of this Policy:

- **"Act"** means the Companies Act, 2013;
- **"Board"** means the Board of Directors of the Company;

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- “**Company**” means Avance Technologies Limited;
- “**Key Managerial Personnel (KMP)**” shall have the meaning assigned under the Act;
- “**Listing Regulations**” means SEBI (LODR) Regulations, 2015, as amended;
- “**Risk**” refers to the possibility of any event or circumstance that may have an adverse impact on the achievement of the Company’s objectives;
- “**Risk Appetite**” means the amount and type of risk that the Company is willing to accept in pursuit of its objectives;
- “**Risk Management Committee (RMC)**” means the Committee constituted by the Board in accordance with Regulation 21.

4. APPLICABILITY AND SCOPE

This Policy shall apply to:

- The Company and its **subsidiaries, associates and joint ventures**, as applicable;
- All **Directors, KMPs, senior management personnel and employees**;
- All business functions, processes, operations, and strategic initiatives.

The Policy covers all categories of risks including but not limited to strategic, operational, financial, compliance, technological, environmental and reputational risks.

5. RISK MANAGEMENT PHILOSOPHY

The Company recognizes that risk is inherent in all business activities. The objective is not to eliminate risks entirely but to **identify, evaluate and manage them effectively** within the defined risk appetite.

The Company adopts an **Enterprise Risk Management (ERM) approach**, which:

- Ensures a **holistic and integrated view of risks** across the organization;
- Aligns risk management with **business objectives and strategy**;
- Encourages proactive identification of risks;
- Facilitates informed decision-making.

6. RISK MANAGEMENT FRAMEWORK

The Company shall follow a structured risk management process comprising the following stages:

6.1 Risk Identification

Identification of internal and external risks across all functions through:

- Periodic reviews
- Business environment analysis
- Inputs from functional heads

6.2 Risk Classification

Risks shall be categorized into:

- Strategic Risks
- Operational Risks
- Financial Risks
- Compliance & Legal Risks
- Cyber Security & Information Risks
- ESG (Environmental, Social, Governance) Risks
- Reputational Risks

6.3 Risk Assessment

Each identified risk shall be evaluated based on:

- **Likelihood of occurrence**
- **Potential impact** (financial, operational, reputational)

A **risk matrix** shall be used to prioritize risks.

6.4 Risk Mitigation

Appropriate mitigation strategies shall be developed, including:

- Risk avoidance
- Risk reduction/control
- Risk transfer (insurance)
- Risk acceptance (within appetite)

6.5 Risk Monitoring and Review

- Continuous monitoring of identified risks;
- Periodic review by management and RMC;
- Updating risk registers regularly.

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7. RISK APPETITE FRAMEWORK

The Company shall define its **Risk Appetite Framework**, approved by the Board, which shall:

- Specify acceptable levels of risk;
- Define thresholds for escalation;
- Align with business objectives and growth strategy;
- Be reviewed periodically.

8. RISK MANAGEMENT COMMITTEE (REGULATION 21)

8.1 Constitution

The Board shall constitute a **Risk Management Committee** in compliance with Regulation 21.

8.2 Composition

- Minimum **three members**;
- Majority shall be **Board members**;
- At least **one Independent Director**;
- Senior executives may be included.

8.3 Chairperson

The Chairperson shall be a **member of the Board**.

8.4 Meetings

The Committee shall meet **at least twice in a financial year**, and more frequently if required.

8.5 Quorum

- Two members or one-third of members, whichever is higher.

9. ROLES AND RESPONSIBILITIES

9.1 Board of Directors

- Approve the Policy and risk management framework;

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- Ensure effective implementation;
- Review risk exposure periodically;
- Provide strategic direction.

9.2 Risk Management Committee

- Oversee risk management framework;
- Review risk registers and mitigation plans;
- Monitor emerging risks (cyber, ESG, etc.);
- Review business continuity planning;
- Report to the Board.

9.3 Senior Management

- Identify and assess risks;
- Implement mitigation measures;
- Report to RMC.

10. RISK REGISTER

The Company shall maintain a **Risk Register** containing:

- Description of risk
- Risk category
- Probability and impact
- Mitigation plan
- Responsibility matrix
- Status updates

11. BUSINESS CONTINUITY PLAN (BCP)

The Company shall develop and maintain a **Business Continuity Plan** to ensure:

- Continuity of critical operations;
- Quick recovery from disruptions;
- Minimization of financial and reputational loss.

12. INTERNAL CONTROLS AND INTEGRATION

Risk management shall be integrated with:

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- Internal financial controls;
- Compliance framework;
- Audit processes;
- Strategic and operational planning.

13. DISCLOSURES AND REPORTING

The Company shall ensure:

- Disclosure of risk management framework in **Board's Report**;
- Appropriate disclosures in **Annual Report**;
- Compliance with regulatory reporting requirements.

14. DOCUMENTATION AND RECORD KEEPING

All risk-related information shall be:

- Properly documented;
- Maintained for audit and regulatory review;
- Updated periodically.

15. REVIEW AND AMENDMENT

“This Policy shall be subject to periodic review by the Board of Directors and shall be deemed to be amended in accordance with any changes in applicable laws including the SEBI (LODR) Regulations, 2015. In case of any inconsistency, statutory provisions shall prevail.”

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